

# A Safe Path to Producer-Direct Interstate Meat Commerce

A comprehensive 50-state policy, food-safety, market-structure, and intelligence analysis

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Independent public-source policy analysis

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## THE POLICY QUESTION

Ranchers already can sell producer-owned inspected meat to the public and across state lines. The policy question is how to expand lawful processing pathways without weakening public-health outcomes or disrupting scale-dependent functions the broader meat system still needs.

PEOPLE • PROCESSES • PRODUCT • INTELLIGENCE

## Publication Note and Independence Statement

This public report is an independent Cutline Compliance policy-intelligence analysis developed exclusively from public statutes, regulations, Federal Register notices, agency directives and guidance, USDA economic research, peer-reviewed research, public stakeholder statements, and other publicly available sources. It does not represent the views, findings, policy, or official position of the U.S. Department of Agriculture (USDA), the Food Safety and Inspection Service (FSIS), or any other federal or state agency. No confidential, deliberative, enforcement-sensitive, establishment-specific, or otherwise nonpublic government information was used.

The paper is educational and analytical. It does not provide establishment-specific regulatory advice. Where the paper discusses a proposed Producer Direct Interstate Meat Commerce (PDIMC) framework or a proposed Direct Producer Inspection (DPI) pathway, those concepts are Cutline-created policy recommendations—not existing FSIS programs, statutory authorities, or agency positions.

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### CORE THESIS

The United States does not need to choose between producer market access and industrial-scale meatpacking. A resilient system needs both: more inspected pathways for independent producers and continued large-scale packing capacity for national further processing, byproduct utilization, and export markets.

## Abstract

President Donald Trump's September 4, 2026 Executive Order directs USDA to expand legitimate interstate market opportunities for American ranchers while maintaining high food-safety standards and reducing barriers associated with concentrated meat processing. The central public-policy problem, however, is often misstated. Ranchers already may own, brand, market, and sell meat directly to the public—including across state lines—when the animals and products move through an authorized interstate inspection pathway. The principal legal constraints arise when policymakers seek to commercialize ordinary custom-exempt product or allow ordinary state-inspected product to move interstate outside existing federal mechanisms. This paper identifies the statutes, regulations, FSIS issuances, program structures, market economics, and trade considerations that define those limits; evaluates the role of small, medium, and large processors as complementary parts of one national system; and recommends a phased PDIMC framework that expands producer choice without degrading inspection, downstream manufacturing inputs, export infrastructure, or consumer confidence. The paper concludes that Congress and USDA can materially increase producer-controlled interstate commerce, but the durable reform is additive rather than substitutive: decentralize access where it improves competition while preserving large-scale capacity where scale is economically and operationally necessary.

*Keywords: meat inspection; FSIS; Federal Meat Inspection Act; custom exemption; Cooperative Interstate Shipment; Talmadge-Aiken; beef processing; interstate commerce; ranchers; food safety; meatpacking concentration; further processing; exports*

## Executive Key Judgments

**High confidence:** Ranchers already have lawful mechanisms to sell producer-owned meat directly to the public and across state lines. Federal inspection is the broadest pathway; selected CIS establishments also may ship interstate. The policy challenge is therefore not whether ranchers may sell meat, but which slaughter/processing pathways may lawfully prepare product for commerce.

**High confidence:** Ordinary custom exemption is the clearest statutory barrier to commercializing non-inspected slaughter. 21 U.S.C. § 623 and 9 C.F.R. § 303.1 confine custom product to the owner/household-use structure and require “Not for Sale” identification.

**High confidence:** Ordinary state inspection does not create broad interstate authority. State MPI programs are “at least equal to” federal inspection but are principally intrastate; CIS is the existing statutory bridge for selected small establishments.

**High confidence:** A CIS-only strategy cannot be a complete national solution because 20 states do not operate active State MPI programs. Federal-only states need either continued federal inspection, a Talmadge-Aiken arrangement where appropriate, or a new federal statutory lane.

**High confidence:** Large packers are not merely competitors to smaller processors. They supply scale-dependent functions that small and medium plants do not presently replicate nationally: high-throughput slaughter/fabrication, standardized raw material streams for further processors, byproduct monetization, and large-volume export production.

**Moderate-high confidence:** The best policy objective is diversification, not replacement. More regional and producer-controlled inspected capacity can improve bargaining options and resilience while large plants continue serving industrial and export functions for which scale materially lowers costs.

**High confidence:** Any new producer-direct commercial pathway should preserve ante-mortem and post-mortem inspection, sanitation and hazard-control protections at least equivalent to applicable federal public-health outcomes, sanitary dressing, SRM controls, traceability, truthful labeling, recall capability, and applicable humane-handling requirements.

**Moderate confidence:** The administration can accomplish substantial near-term reform administratively through CIS/TA expansion, technical assistance, inspection modernization, and processing finance. Broad commercialization of ordinary custom-exempt meat or broad interstate movement of ordinary state-inspected product requires congressional action or new statutory authority.

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# 1. Purpose, Analytic Question, and Evidence Discipline

## 1.1 Analytic question

This paper asks a narrower and more useful question than the headline debate: What legal, regulatory, operational, and economic changes are necessary to expand producer-controlled meat processing and interstate sales while preserving the public-health functions, downstream manufacturing capacity, and export capabilities of the existing U.S. meat system?

That framing matters because the September 4 Executive Order does not direct USDA to abolish inspection. It directs USDA to expand legitimate market opportunities “consistent with applicable law” while maintaining high food-safety standards, modernizing inspection, increasing State-Federal participation, and identifying statutory restrictions on state-inspected and custom-exempt interstate commerce (The White House, 2026).

## 1.2 Evidence hierarchy

Cutline applies a source hierarchy. Controlling statutes and regulations are treated as the highest legal authority. FSIS directives, notices, Federal Register publications, and published program materials are used to establish current agency implementation and policy. USDA Economic Research Service (ERS) and Agricultural Marketing Service (AMS) materials are used for market structure, processing economics, and product-stream evidence. Stakeholder statements are used to identify positions, incentives, and political constraints—not as neutral fact sources. Media and social discourse are treated only as narrative indicators.

| Evidence class                          | Use in this paper                                                      | Examples                                                         |
|-----------------------------------------|------------------------------------------------------------------------|------------------------------------------------------------------|
| Verified legal / regulatory evidence    | Defines what is legally permitted or required today.                   | FMIA; 9 C.F.R.; Federal Register.                                |
| Verified agency policy / implementation | Shows how FSIS currently administers programs and verifies compliance. | FSIS Directives 8160.1, 5720.3, 5740.1, 6420.2, 6100.4, 10010.2. |
| Verified economic / market evidence     | Supports concentration, capacity, cost, and supply-chain analysis.     | USDA ERS and AMS.                                                |
| Supported interpretation                | Analytic conclusion drawn from multiple verified sources.              | A national solution cannot rely on CIS alone.                    |
| Cutline recommendation                  | Proposed framework or control not currently required by FSIS.          | PDIMC; DPI; enhanced electronic traceability.                    |
| Stakeholder position                    | Documents political or industry preference.                            | NCBA, NFU, R-CALF USA, Meat Institute.                           |

## 1.3 Analytic standards

The paper follows intelligence-style analytic discipline: facts are separated from judgments; judgments are confidence-rated when uncertainty matters; competing explanations are considered; policy recommendations are not presented as validated agency policy; and material constraints are surfaced even when they weaken the preferred narrative. This is especially important here because the policy debate contains two simultaneous truths: concentration and limited regional capacity can weaken producer bargaining power, while large plants also generate real scale efficiencies and supply functions that the rest of the food system depends on (MacDonald, 2024).

## 1.4 Research positioning and contribution

A review of comparable public work found strong external support for the paper’s core building blocks. USDA research documents both meatpacking concentration and large-plant scale economies, while peer-reviewed plant-level analysis independently confirms long-run consolidation and regional concentration in U.S. meat processing (MacDonald, 2024; Saitone et al., 2024). USDA work on local meat systems likewise shows that small and regional processing faces higher costs and business-model constraints that legal access alone does not solve (U.S.

Department of Agriculture, Economic Research Service, 2013). The contribution of this paper is therefore not a claim to have invented those underlying findings. Its contribution is the integration of inspection law, market structure, processor economics, state readiness, food safety, downstream manufacturing, exports, and implementation design into one policy framework.

## 2. What Current Law Already Allows

### CRITICAL CLARIFICATION

Federal law does not prohibit ranchers from selling rancher-owned meat to the public or across state lines. Ranchers already can do so when the livestock and products move through an authorized interstate inspection pathway. The policy problem is the processing pathway—not the existence of meat sales.

### 2.1 Federal inspection already supports producer-owned interstate commerce

The Federal Meat Inspection Act (FMIA) requires ante-mortem and post-mortem inspection of livestock intended for human food and inspection of meat products prepared for commerce. Once livestock are slaughtered and products are prepared in an official establishment under federal inspection, inspected-and-passed product may enter interstate commerce, subject to applicable labeling, recordkeeping, handling, and other requirements. Nothing in that architecture requires the producer to surrender ownership of the animal or finished brand to a large packer. A rancher may use a federally inspected processor, retain title to the product, market it under an approved label, and sell it directly to consumers or other lawful buyers across state lines. See 21 U.S.C. §§ 603, 604, and 606.

FSIS also provides a compliance pathway for mobile slaughter units seeking federal inspection. The mobile format changes the physical configuration, not the substantive requirement to meet applicable official-establishment regulations, including relevant provisions in 9 C.F.R. Parts 304, 307-314, 325, 416, and 417 (Food Safety and Inspection Service [FSIS], 2010).

### 2.2 CIS already permits interstate shipment from selected state-inspected establishments

Congress created the Cooperative Interstate Shipment (CIS) program to allow selected small and very small State-inspected establishments—generally establishments with 25 or fewer employees—to ship product interstate. CIS does not weaken the underlying food-safety standard. FSIS Directive 5740.1 requires CIS inspection to operate in a manner that is “same as” Federal inspection, with federal oversight, training, sampling, and enforcement expectations (FSIS, 2021). Georgia became the 11th CIS state in July 2026 (FSIS, 2026a).

### 2.3 Talmadge-Aiken already decentralizes who performs federal inspection

Talmadge-Aiken (TA) cooperative agreements demonstrate another important principle: state personnel may perform federal inspection functions at federally inspected establishments. The product remains federally inspected and eligible for interstate commerce. Following the 2024 Boar’s Head Listeria outbreak review, however, FSIS tightened expectations for TA oversight, federal training, coordination, enforcement, and criteria for state coverage. TA therefore can add capacity, but it cannot be treated as an informal staffing substitute (FSIS, 2024b; FSIS, 2025).

### 2.4 State inspection and custom exemption serve different purposes

State MPI programs are not “less inspected” systems. They must operate in a manner at least as effective as the Federal program in protecting public health, including inspection, sampling, staffing and training, humane handling, enforcement, and laboratory capability (FSIS, 2016). The limitation is principally jurisdictional: ordinary State-inspected product is generally restricted to intrastate commerce unless a federal pathway such as CIS applies. Thirty states currently operate MPI programs under cooperative agreements with FSIS (U.S. Department of Agriculture, Food Safety and Inspection Service, 2026c).

Custom exemption is different. It removes continuous federal inspection from qualifying owner-use/custom operations but confines the product to the owner/household-use structure and requires it to be marked “Not for Sale.” Custom facilities remain subject to sanitation, humane handling, recordkeeping, adulteration/misbranding provisions, and periodic FSIS review, but custom exemption is not a commercial sale pathway (FSIS, 2022; 9 C.F.R. § 303.1).

| Pathway                              | Public commercial sale | Interstate commerce           | Inspection / oversight posture                                                                                                                               |
|--------------------------------------|------------------------|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Federal inspection                   | Yes                    | Yes                           | FSIS federal inspection; applicable 9 C.F.R. requirements.                                                                                                   |
| CIS selected establishment           | Yes                    | Yes                           | State personnel applying same-as-federal requirements under FSIS oversight.                                                                                  |
| Talmadge-Aiken federal establishment | Yes                    | Yes                           | Federal inspection functions performed by qualified State personnel under federal authority.                                                                 |
| Ordinary State MPI                   | Yes                    | Generally no                  | State program must be at least equal to Federal inspection; product ordinarily remains intrastate.                                                           |
| Custom exempt                        | No commercial sale     | No commercial interstate sale | Exempt from continuous inspection but subject to specified sanitation, records, humane handling, marking, adulteration/misbranding controls and FSIS review. |

### 3. Exact Statutory and Regulatory Barriers

The administration’s objective therefore encounters specific choke points rather than a single blanket prohibition. The principal barriers are statutory, and the implementing regulations reinforce them.

#### 3.1 Commercial slaughter inspection: 21 U.S.C. §§ 603, 604, and 606

Sections 603 and 604 establish ante-mortem and post-mortem inspection requirements for livestock slaughtered for human food, while § 606 governs inspection and marking of meat food products prepared for commerce. These provisions are the reason policymakers cannot simply convert an ordinary custom slaughter event into federally recognized commercial meat after the fact. If Congress creates a new commercial lane, it must decide whether and how that lane preserves the inspection functions Congress currently assigns to the federal system.

#### 3.2 The custom-exempt wall: 21 U.S.C. § 623 and 9 C.F.R. § 303.1

The most direct barrier to the political idea of “custom slaughter plus commercial sale” is 21 U.S.C. § 623(a). The exemption is tied to ownership and household-type use, not to retail commerce. The regulation at 9 C.F.R. § 303.1 requires custom product to remain “Not for Sale,” and 9 C.F.R. § 316.16 prescribes that identification. FSIS Directive 8160.1 instructs compliance personnel to review custom facilities for, among other things, improper sale or distribution of custom product (FSIS, 2022).

#### 3.3 The ordinary state-inspection interstate wall: 21 U.S.C. § 661

The FMIA permits cooperative State inspection programs when State requirements and enforcement are at least equal to the Federal program. That authority is structured around meat produced and sold within the State. As a result, a product may be fully inspected under a federally reviewed State MPI program yet remain jurisdictionally barred from ordinary interstate shipment. This is the legal inconsistency that DIRECT-style legislation seeks to address.

### 3.4 CIS is a bridge—but a limited one: 21 U.S.C. § 683

Section 683 creates a federal interstate exception for selected small State-inspected establishments. That demonstrates Congress has already accepted the concept that State personnel can inspect products for interstate commerce under a same-as-federal framework. However, CIS only operates in participating MPI states and only for selected establishments. It therefore cannot by itself solve access in the 20 states without active MPI programs.

| Barrier                           | Current legal effect                                                              | Who can change it                                                                        | Most defensible reform                                                                                     |
|-----------------------------------|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| 21 U.S.C. §§ 603-606              | Commercial slaughter/product preparation is tied to federal inspection functions. | Congress; USDA within delegated implementation authority.                                | Preserve ante/post-mortem and product inspection functions in any new lane.                                |
| 21 U.S.C. § 623; 9 C.F.R. § 303.1 | Custom product remains owner/household use and “Not for Sale.”                    | Congress for material commercialization; USDA for implementation after authority exists. | Do not commercialize ordinary custom exemption as-is; create a distinct inspected commercial lane instead. |
| 21 U.S.C. § 661                   | Ordinary State MPI product is generally intrastate.                               | Congress for broad interstate exception; USDA for existing cooperative programs.         | Authorize qualifying DTC interstate shipment or expand CIS.                                                |
| 21 U.S.C. § 683                   | CIS limited to participating states and selected small establishments.            | Congress and USDA.                                                                       | Scale participation now; consider size/eligibility changes only after evaluating program performance.      |
| 9 C.F.R. Parts 416/417            | Sanitation and HACCP systems apply to official establishments.                    | USDA within statute; Congress if creating an alternative statutory system.               | Tailor assistance and administrative burden—not substantive hazard-control outcomes.                       |

## 4. What the September 4 Executive Order Actually Changes

The September 4, 2026 Executive Order is best understood as an implementation and legislative-development directive rather than a self-executing legalization of farm-processed interstate meat. The order tells USDA to accelerate State MPI, CIS, and Talmadge-Aiken participation; create technical assistance and training for small processors; build processing-resource information; modernize inspection; remove requirements that do not advance essential food-safety needs where legally permissible; create an implementation coordinator; strengthen Packers and Stockyards Act enforcement; and support processing finance (The White House, 2026).

The most consequential provisions are the two 60-day reports. USDA must identify remaining statutory/regulatory barriers to greater interstate access for State-inspected product and separately identify federal statutory provisions and trade considerations that restrict or prohibit state-inspected or custom-exempt meat from interstate commerce. That structure itself acknowledges that executive action cannot erase the FMIA’s statutory architecture (The White House, 2026).

### 4.1 Administration actions already moving in the same direction

USDA had already been expanding small-processor support before the Executive Order. Georgia entered CIS in July 2026, and FSIS emphasized that food-safety requirements do not change under CIS: participating establishments apply the same sanitation performance standards, HACCP requirements, sampling frequencies, and laboratory expectations as federal inspection (FSIS, 2026a). USDA also opened the Strengthening Processing for U.S. Ranchers (SPUR) program to qualifying federally inspected, TA, and CIS beef processors, underscoring that current support is aimed at inspected processing capacity rather than uninspected commercial slaughter (FSIS, 2026b).

FSIS’s 2026 regulatory plan separately anticipates a proposed optional modernization of beef slaughter inspection designed to use agency resources more efficiently while maintaining public-health protection equivalent to the current system. That initiative may affect inspection delivery and plant economics, but it does not itself create a custom-commercial exemption or new interstate authority (U.S. Department of Agriculture, Food Safety and Inspection Service, 2026d).

## 4.2 Pending legislation already defines three competing reform models

Congress is not starting from a blank page. Three current legislative approaches illustrate the choices policymakers are already considering. The DIRECT Act of 2025, S. 3099, would amend 21 U.S.C. § 661 to permit qualifying State-inspected meat to be sold over the internet and shipped by carrier directly to household consumers in normal retail quantities, while expressly excluding export. The bill was introduced on November 4, 2025 and referred to the Senate Committee on Agriculture, Nutrition, and Forestry (U.S. Congress, Senate, 2025a).

The PRIME Act, S. 2409, takes a substantially different approach. It would amend 21 U.S.C. § 623 to exempt qualifying custom-slaughter production from federal inspection requirements when State law authorizes the activity and distribution remains within the State to household consumers or specified retail and food-service establishments. It therefore directly tests the custom-exemption boundary rather than the ordinary State-inspection interstate boundary (U.S. Congress, Senate, 2025b).

The House-passed Farm, Food, and National Security Act of 2026, H.R. 7567, contains a more controlled experimental model in § 12114: a limited custom-slaughter pilot for direct intrastate consumer sales with labeling, no-resale conditions, humane-slaughter and adulteration/misbranding requirements, government oversight, reporting, and emergency authority. The House engrossed the bill on April 30, 2026; the provision is not current law unless enacted through the legislative process (U.S. Congress, House, 2026).

| Legislative model       | Boundary changed                                                                                 | Inspection posture                                                                                      | Cutline assessment                                                                                                  |
|-------------------------|--------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| S. 3099 — DIRECT Act    | Ordinary State-inspected product gains a narrow interstate DTC lane.                             | State inspection retained; federal State-program oversight remains.                                     | Strong near-term bridge because it expands commerce without converting custom exemption into commercial inspection. |
| S. 2409 — PRIME Act     | Custom-exempt product may enter specified intrastate commercial channels where State law allows. | Would remove federal inspection requirements for covered custom production.                             | Higher food-safety and confidence burden; requires stronger safeguards before broader replication.                  |
| H.R. 7567 § 12114 pilot | Limited custom-exempt direct intrastate sales in a controlled pilot.                             | Not federally inspected, but subject to defined labeling, oversight, reporting, and emergency controls. | Best evidence-generation model for testing the custom-commercial boundary before national expansion.                |

## 5. The Market Problem: Concentration, Capacity, and Scale

### 5.1 Concentration is real

USDA ERS reports that the four largest firms handle approximately 85% of U.S. steer and heifer purchases. ERS also finds stronger recent evidence that high concentration combined with limited packing capacity can weaken cattle-market competition, particularly after excess capacity disappeared and farm-to-wholesale spreads widened (MacDonald, 2024). Peer-reviewed analysis using roughly three decades of FSIS plant-level data independently documents substantial consolidation, ownership change, and regional concentration in U.S. livestock processing (Saitone et al., 2024). The competition problem is therefore not imaginary or purely political.

### 5.2 Scale economies are also real

The same ERS analysis cautions against a simplistic “large equals bad” conclusion. Meatpacking consolidated in part because larger plants achieved lower per-animal processing costs. Modern large beef plants are designed around throughput that can approach roughly 5,000 cattle per day, whereas many new entrants announced since 2021 have been designed for 500 to 3,000 head per day. Smaller plants can be viable, but they often need premium markets, producer commitments, long-term buyers, or other strategies to compensate for higher unit costs (MacDonald, 2024).

USDA research on local beef reaches the same structural conclusion. Local/direct-market beef systems face higher processing and marketing costs, and small fee-for-service processors often recover less value from byproducts

than commodity processors. The inability to monetize hides, fats, offal, and other streams at scale increases net processing cost (U.S. Department of Agriculture, Economic Research Service, 2013).

#### BALANCED MARKET JUDGMENT

**High concentration can reduce rivalry, but large plants also create efficiencies. Good policy should increase credible competitors and producer options without destroying scale-dependent functions that benefit downstream manufacturers, exporters, and consumers.**

## 6. Why Large Packers Remain Essential

A producer-direct policy becomes more credible when it acknowledges the functions large packers perform that small and medium establishments do not presently reproduce at national scale. The objective should be a diversified processing ecosystem—not replacement of one plant class with another.

### 6.1 High-throughput slaughter and fabrication

Large plants aggregate cattle, slaughter at high line speeds under continuous inspection, fabricate carcasses into standardized boxed-beef and trim streams, and move enormous volumes through refrigeration, storage, and distribution systems. Those capabilities lower unit costs and create the predictable supply base used by retailers, foodservice operators, and further processors. ERS identifies large-plant scale economies as a core driver of the industry's historical consolidation (MacDonald, 2024; MacDonald et al., 1999).

### 6.2 Raw material for further-processing establishments

Large slaughter/fabrication plants are upstream suppliers to establishments that manufacture sausage, ground-beef patties, cured meats, cooked products, formulated meat items, and other further-processed foods. FSIS training materials explicitly recognize that meat used in fresh sausage may come from outside suppliers and that processors use purchase specifications to obtain consistent raw material, including specified lean-to-fat ratios in trimmings (FSIS, 2024a).

USDA AMS maintains formal product specifications for fresh chilled boneless beef for further processing, beef special trim, and frozen ground-beef products. Those specifications are evidence of an institutionalized national market for standardized beef inputs—not just consumer cuts (U.S. Department of Agriculture, Agricultural Marketing Service, 2025). Small and medium processors can participate in these markets, but the current national further-processing sector depends on continuous, standardized, high-volume raw-material streams that large slaughter/fabrication systems are particularly capable of supplying.

### 6.3 Byproducts and carcass-value recovery

Large packers also monetize components that small fee-for-service processors often cannot market efficiently. USDA ERS specifically identifies lower byproduct recovery as one reason local/small-scale processing carries higher net costs (U.S. Department of Agriculture, Economic Research Service, 2013). This matters because the economics of slaughter are not determined by boxed beef alone; the value recovered from hides, fats, organs, rendered materials, and other co-products affects the price a processor can pay for cattle and the fee structure required to remain viable.

### 6.4 Export scale and international eligibility

Large packers are not legally the only establishments that can export. FSIS policy states that federally inspected-and-passed meat products are generally eligible for export certification, subject to importing-country requirements (FSIS, 2018). Smaller official establishments may export when they satisfy those requirements. However, many foreign markets impose establishment-specific listing, product, facility, documentation, segregation, or certification requirements. FSIS's eligible-establishment system for countries such as China, the European Union, Canada, Mexico, and others illustrates the additional infrastructure involved in export participation (FSIS, n.d.).

Operationally, large packers are therefore critical to export continuity because they can combine country eligibility, dedicated export programs, segregation, documentation, cold-chain capacity, large consistent lots, variety-meat recovery, and sustained buyer relationships. A policy that inadvertently reduces large-packer throughput without replacing those functions could reduce export capacity even if domestic small-processor access improves.

## 6.5 System complementarity—not substitution

| Processor role                   | Best-fit system functions                                                                                                                          | Policy objective                                                                             |
|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| Large national packers           | High-throughput slaughter/fabrication; standardized trim and boxed beef; co-product recovery; national distribution; large-volume export programs. | Preserve scale-dependent capacity while enforcing competition and food-safety law.           |
| Medium regional processors       | Regional wholesale competition; branded programs; institutional buyers; producer groups; intermediate-scale slaughter/fabrication.                 | Increase capacity and rivalry; reduce regional bottlenecks.                                  |
| Small federal / CIS / future DPI | Producer-owned brands; specialty/niche products; DTC; local and regional markets; flexible scheduling.                                             | Expand inspected market access and producer margin capture.                                  |
| Custom exempt                    | Owner/household use; community processing of privately owned animals.                                                                              | Preserve legitimate custom function; do not confuse with unrestricted commercial processing. |

### POLICY IMPLICATION

**The strongest reform is additive: more inspected small and regional capacity should create competition around the large-packer system, not attempt to erase the large-packer functions that downstream manufacturers and export markets still require.**

## 7. The 50-State Implementation Landscape

A national policy must account for the fact that meat inspection is not organized identically in all 50 states. FSIS reported 30 State MPI programs in 2026. Eleven states now participate in CIS: Georgia, Indiana, Iowa, Maine, Missouri, Montana, North Dakota, Ohio, South Dakota, Vermont, and Wisconsin (FSIS, 2026a; U.S. Department of Agriculture, Food Safety and Inspection Service, 2026c). The remaining 20 states do not operate active MPI programs and therefore cannot simply enroll ordinary state-inspected plants into CIS.

| State architecture     | Approximate national position | Policy meaning                                                                                                                    |
|------------------------|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| CIS states             | 11 states                     | Existing same-as-federal interstate pathway can be expanded by selecting additional qualifying establishments.                    |
| MPI states without CIS | 19 states                     | Inspection infrastructure exists, but ordinary State-inspected product remains intrastate unless another federal pathway applies. |
| Federal-only states    | 20 states                     | A CIS-only reform does not reach these states; federal inspection, TA, or a new federal lane is central.                          |

The 50-state matrix developed for this project uses five Cutline-created dimensions—inspection infrastructure, producer/custom flexibility, processing capacity, policy innovation, and existing legal leverage—to assess implementation readiness. The index is an analytic tool, not an FSIS rating and not a food-safety performance score. State-law entries should be reverified against controlling statutes before legal reliance.

## 8. Nebraska as the Federal-Only Test Case

Nebraska is a useful stress test because it is cattle-intensive, has meaningful federally inspected slaughter and custom-processing capacity, and recognizes animal-share arrangements, yet it does not currently operate an active State MPI cooperative program. That means Nebraska cannot use CIS unless it first recreates and funds an MPI program that meets federal “at least equal to” requirements and then enters a CIS agreement.

A rancher in Nebraska can already use a federally inspected processor and sell inspected beef interstate. The access problem arises when the available federal slaughter slot is too far away, too expensive, booked too far in advance, or operationally mismatched to a producer’s scale and brand. Rebuilding a State MPI program is one possible solution, but it is administratively expensive and not necessary if Congress instead creates a federal producer-direct inspected lane that works nationwide.

| Nebraska option                                        | Legal feasibility                                                           | System effect                                                                                            |
|--------------------------------------------------------|-----------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
| Use existing federally inspected processors            | Available now.                                                              | Preserves full federal inspection; does not by itself solve regional access/cost/scheduling constraints. |
| Re-establish State MPI, then pursue CIS                | Legally available but requires State program buildout and federal approval. | Creates a new State lane and eventual same-as-federal interstate option.                                 |
| Use/expand TA where agreements and staffing support it | Administrative/cooperative option under federal authority.                  | Can expand federal inspection delivery but must meet strengthened TA oversight expectations.             |
| Create national DPI statutory lane                     | Requires Congress and USDA rulemaking.                                      | Creates a federal option for states that lack MPI without forcing a new State bureaucracy.               |
| Commercialize ordinary custom exemption                | Requires congressional change and would still need safety architecture.     | Highest food-safety and confidence risk if done without new inspection controls.                         |

## 9. Stakeholder and Narrative Environment

The political coalition is more nuanced than a simple pro- versus anti-deregulation split. Major cattle and farm organizations generally recognize the need for more processing options; their disagreement centers on whether flexibility should preserve rigorous inspection.

The National Cattlemen’s Beef Association supports increased competition, small and regional processors, and removal of unnecessary regulations, but explicitly opposes weakening federal meat-inspection and food-safety standards (National Cattlemen’s Beef Association, 2026). National Farmers Union similarly describes processing consolidation as a crisis while stating that greater flexibility should not come at the expense of food safety (National Farmers Union, 2026). R-CALF USA is more aggressively supportive of independent processing and competition reforms (R-CALF USA, 2026). The Meat Institute emphasizes that existing inspected pathways already permit farm/ranch meat marketing and warns against commercialization of uninspected meat (Meat Institute, 2026). The Safe Food Coalition goes further and opposes DIRECT-style interstate sales of ordinary State-inspected meat, arguing that interstate commerce should remain tied to federal inspection; that objection represents the strongest organized challenge to a State-inspected interstate DTC model and should be answered through equivalency, audit, traceability, and enforcement design rather than dismissed (Consumer Federation of America, 2026).

These positions reveal a viable center of gravity: a reform that preserves inspection but expands who can access interstate processing can attract support from producer groups that would reject a simple “uninspected meat” model. The administration’s September 4 Executive Order moved closer to that center by explicitly pairing market access with high food-safety standards and directing USDA toward cooperative inspection programs rather than declaring custom meat immediately saleable (The White House, 2026).

**NARRATIVE RISK**

The fastest way to lose the policy argument is to frame it as “inspection versus freedom.” The more defensible frame is “producer choice through more inspected pathways.”

## 10. Policy Options and Alternative Courses

| Option                                                | What it accomplishes                                                                              | Major weakness                                                                                                        | Cutline assessment                                    |
|-------------------------------------------------------|---------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| Status quo + grants                                   | Adds some independent capacity while leaving legal architecture unchanged.                        | Does not solve State interstate barriers or federal-only-state access.                                                | Insufficient alone.                                   |
| CIS expansion only                                    | Scales an existing same-as-federal interstate pathway.                                            | Unavailable in 20 federal-only states and limited to selected small plants.                                           | Immediate action, but incomplete national solution.   |
| DIRECT-style State-inspected DTC interstate exemption | Opens consumer market across state lines while preserving State inspection and federal oversight. | Still unavailable to federal-only states; may face food-safety opposition.                                            | Strong legislative component.                         |
| Commercialize ordinary custom exemption               | Creates broad local slaughter freedom quickly.                                                    | Conflicts with current FMIA; weakens ante/post-mortem inspection unless new controls are added; high confidence risk. | Not recommended as standalone model.                  |
| New federal DPI lane                                  | Creates national producer-direct pathway with defined inspection and safety controls.             | Requires Congress, rulemaking, staffing, and new program administration.                                              | Best long-term national option if carefully designed. |
| Rebuild State MPI programs nationwide                 | Makes CIS theoretically available everywhere.                                                     | Expensive, duplicative, and politically unrealistic for many states.                                                  | Optional, not national prerequisite.                  |

### 10.1 Alternative explanation: the problem may be economics more than regulation

A serious policy analysis must consider the possibility that legal barriers are not the dominant constraint. Even if every rancher received a new legal pathway tomorrow, small processors would still face capital costs, labor shortages, inspection coverage, wastewater and rendering needs, refrigeration, packaging, distribution, seasonal throughput, and higher per-head processing costs. USDA’s own research strongly supports this alternative explanation: large plants retain meaningful scale advantages, while local/direct-market systems face higher processing and marketing costs and weaker byproduct economics (MacDonald, 2024; U.S. Department of Agriculture, Economic Research Service, 2013).

The implication is not that legal reform is unnecessary. It is that market-access reform must be paired with capacity and business-model reform. Otherwise the policy may create legal permission without creating economically usable slaughter slots.

## 11. Recommended PDIMC Framework

Cutline recommends a Producer Direct Interstate Meat Commerce framework designed around one governing principle: deregulate unnecessary access barriers without deregulating the public-health outcome. PDIMC is a layered system, not a single exemption.

### Pillar 1 — Expand CIS now

USDA should standardize CIS onboarding, technical assistance, state application support, inspector training, performance dashboards, and plant-selection processes. Program performance should be measured by usable inspected slaughter and processing capacity—not simply by establishment count. CIS should remain same-as-federal in sanitation, HACCP, sampling, labeling, and enforcement expectations (FSIS, 2021; FSIS, 2026a).

## **Pillar 2 — Use Talmadge-Aiken selectively under strengthened oversight**

TA can increase federal inspection delivery where State personnel and federal supervision can be deployed efficiently. Any expansion should incorporate FSIS's post-2024 reforms: comprehensive federal training, clear supervisory accountability, enforcement alignment, regular coordination, dedicated oversight, and explicit criteria for starting, maintaining, and terminating State coverage (FSIS, 2024b; FSIS, 2025).

## **Pillar 3 — Enact a DIRECT-style interstate DTC pathway for qualifying State-inspected product**

Congress should authorize limited direct-to-household interstate shipment of meat produced under qualifying State MPI systems. The strongest model preserves State inspection, federal program oversight, transaction records, recall capability, and clear product identification. A DTC lane is especially attractive because ecommerce creates an auditable customer and shipment trail.

## **Pillar 4 — Create a federal Direct Producer Inspection (DPI) pathway**

Congress should authorize a new DPI category for producer-owned, cooperative, mobile, or small regional operations that need a national lane but cannot access CIS. DPI should not be ordinary custom exemption under a different name. It should be a commercial inspection pathway with explicit ante-mortem and post-mortem inspection; where Federal inspection status applies, the applicable sanitation and HACCP requirements of 9 C.F.R. Parts 416 and 417—and, if Congress instead creates a distinct statutory lane, protections at least equivalent to those federal public-health outcomes; humane handling; sanitary dressing; SRM controls; labeling and inspection legend authority; records; recall capability; and electronic lot traceability. DPI is a Cutline proposal, not an existing FSIS program.

## **Pillar 5 — Stage product complexity**

DPI implementation should begin with lower-complexity raw intact products before expanding to grinding/non-intact and then to more complex processed products. This is a process-complexity strategy, not a claim that intact beef is free of STEC risk. FSIS requires HACCP verification for establishments producing both raw intact and raw non-intact beef, and STEC controls remain relevant where hazards are reasonably likely to occur (FSIS, 2020).

## **Pillar 6 — Build traceability into the statute**

A new DPI lane should require electronic lot identity that links the production lot to the producer, slaughter establishment, slaughter date, processing lot, and customer shipment. This exceeds generally applicable current FSIS traceability requirements and is therefore a proposed additional safeguard. DTC commerce makes this more feasible because customer transaction data already exist.

## **Pillar 7 — Authorize a distinct inspection legend**

Congress should authorize, and FSIS should prescribe by regulation, a DPI inspection legend or other truthful identifier that communicates the pathway without implying ordinary federal inspection where that is not the legal status. The label should emphasize inspection and traceability, not “exemption.”

## **Pillar 8 — Finance viable regional capacity, not merely buildings**

USDA processing finance should favor projects with demonstrated livestock throughput, workforce plans, wastewater/rendering solutions, cold-chain capacity, business management, and committed buyers. Producer-owned cooperatives and regional entrants can increase competition, but only if the facilities run enough volume to cover fixed costs. SPUR and related programs should be evaluated by added sustainable slaughter capacity and competitive independence—not by dollars awarded (FSIS, 2026b; MacDonald, 2024).

## **Pillar 9 — Preserve and enforce competition law**

Processing-capacity reform does not replace Packers and Stockyards Act enforcement or antitrust review. If concentrated firms engage in prohibited conduct, additional small plants do not make that conduct acceptable. Competition enforcement and capacity expansion should remain parallel strategies, consistent with the Executive Order (The White House, 2026).

## Pillar 10 — Explicitly protect large-scale system functions

PDIMC should state affirmatively that the objective is not to dismantle large-packer throughput. Federal implementation should monitor whether new policy unintentionally reduces raw-material availability for further processors, byproduct markets, export-qualified production, or national cold-chain capacity. The success metric is a more competitive and resilient system—not a transfer of volume from one plant class to another regardless of consequences.

## 12. Food-Safety and Regulatory Control Architecture

The food-safety controls below are the release gate for any new commercial producer-direct lane. Some are existing FSIS requirements for official establishments; others are recommended additional DPI safeguards. The distinction matters.

| Control                                                  | Current FSIS basis                                                               | DPI treatment                                                                                                                                                    |
|----------------------------------------------------------|----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Ante-mortem and post-mortem inspection                   | FMIA §§ 603-604.                                                                 | Preserve for commercial slaughter.                                                                                                                               |
| Sanitation / Sanitation SOPs                             | 9 C.F.R. Part 416.                                                               | If Federal inspection status applies, use applicable Part 416 requirements; otherwise require protection at least equivalent to those federal outcomes.          |
| HACCP / hazard analysis                                  | 9 C.F.R. Part 417.                                                               | If Federal inspection status applies, use applicable Part 417 requirements; otherwise require hazard-control protection at least equivalent to federal outcomes. |
| Sanitary dressing / visible fecal, ingesta, milk control | 9 C.F.R. § 310.18; FSIS Directive 6420.2.                                        | Explicit verification requirement.                                                                                                                               |
| SRM controls                                             | 9 C.F.R. § 310.22; FSIS Directive 6100.4.                                        | Apply to cattle slaughter/processing as applicable.                                                                                                              |
| STEC verification                                        | FSIS Directive 10010.2; HACCP requirements.                                      | Retain for raw intact and non-intact production as applicable.                                                                                                   |
| Humane handling                                          | FMIA/HMSA and applicable regulations.                                            | Retain.                                                                                                                                                          |
| Traceability                                             | Existing records/recall requirements.                                            | Add electronic producer-to-customer lot traceability as a new DPI safeguard.                                                                                     |
| Inspection mark / labeling                               | FMIA and 9 C.F.R. labeling/marketing rules.                                      | Congress authorizes; FSIS prescribes distinct DPI legend.                                                                                                        |
| Mobile facility requirements                             | FSIS Mobile Slaughter Unit Compliance Guide; official-establishment regulations. | Require potable water, sanitation, waste disposal, inspector access/safety, carcass presentation, refrigeration, and applicable facility standards.              |

### 12.1 “Scaled HACCP” is the wrong phrase

Small and very small plants need technical assistance, templates, training, efficient inspection scheduling, and reduced unnecessary paperwork. They should not be described as receiving “scaled-down HACCP” if the phrase implies weaker hazard control. Under current CIS policy, same-as-federal requirements include HACCP and sanitation expectations. PDIMC should scale administrative support and process complexity—not lower the substantive public-health outcome (FSIS, 2021).

### 12.2 Intact versus non-intact beef

Staging intact cuts first is defensible because it limits grinding, commingling, and process complexity, but it does not eliminate STEC obligations. FSIS Directive 10010.2 directs verification of HACCP regulatory requirements in

establishments producing raw intact and raw non-intact beef products. Policy communications should therefore avoid describing intact beef as inherently exempt from STEC concern (FSIS, 2020).

## 13. Economic and Supply-Chain Effects

### 13.1 Producer effects

A successful producer-direct lane can allow some ranchers to capture more downstream value by retaining ownership beyond the live-animal sale and monetizing branded cuts, subscriptions, local identity, specialty claims, or direct household relationships. It can also give ranchers additional buyers and bargaining leverage even if they do not personally process meat. The strongest competitive effect may come from credible regional alternatives rather than from every ranch becoming a processor.

### 13.2 Processor effects

Small and medium establishments could gain access to broader markets, but additional demand can expose labor, refrigeration, fabrication, sanitation, QA, and inspector-capacity constraints. Processing grants or loans should therefore be tied to throughput and operational viability. A plant with legal interstate authority but no trained workforce or steady cattle supply is not additional effective capacity.

### 13.3 Further-processing effects

Further processors need predictable raw material at defined specifications. FSIS training materials describe supplier specifications for sausage inputs, and AMS maintains standardized further-processing beef specifications (FSIS, 2024a; U.S. Department of Agriculture, Agricultural Marketing Service, 2025). Policy should monitor whether changes in slaughter structure affect trim availability, lean/fat balance, lot sizes, price volatility, and continuity for sausage, patty, cooked-product, and other manufacturing operations.

### 13.4 Consumer-price effects

The administration's policy may improve competition and producer options, but the paper does not forecast large near-term national retail beef-price reductions. Small and local processing typically carries higher unit costs, and national beef prices are also affected by cattle inventory, feed costs, imports/exports, consumer demand, labor, and packing capacity. The more defensible claim is that diversified capacity can improve resilience and competitive pressure—not that small slaughter automatically produces cheaper beef (MacDonald, 2024; U.S. Department of Agriculture, Economic Research Service, 2013).

## 14. Export and International Trade Considerations

Export is the area where a domestic-only producer-direct reform can create unintended consequences if inspection status is blurred. FSIS Directive 9000.1 states that official federally inspected establishments and facilities receiving voluntary services may export eligible products, but importing countries may impose additional establishment preapproval, registration, facility, documentation, product, animal-health, or labeling requirements (FSIS, 2018).

FSIS's Eligible U.S. Establishments by Country system illustrates that countries may require plants to be individually listed before product can ship. For China, for example, slaughter, further-processing, and storage establishments must be on the eligible list before qualifying production may be exported. Other countries maintain their own approval/listing conditions (FSIS, n.d.).

The safest DPI design is therefore domestic-first: no export under a special producer-direct lane unless and until FSIS and the importing country determine that the pathway satisfies applicable equivalence and eligibility requirements. This protects existing U.S. export access and avoids forcing trading partners to evaluate a novel domestic exemption before the program has generated performance data.

### EXPORT PRINCIPLE

Small federally inspected establishments can export when they meet importing-country requirements. Large packers are operationally critical—not legally exclusive—because they currently provide much of the scale, certification infrastructure, segregated production, cold chain, and market continuity needed for major export programs.

## 15. Implementation Roadmap

| Phase                                   | Time horizon                 | Actions                                                                                                                                                          | Authority                                    |
|-----------------------------------------|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| Phase 1: Use what already exists        | 0-6 months                   | CIS outreach; TA implementation under strengthened oversight; technical assistance; processing-resource mapping; SPUR/finance; publish statutory barrier report. | USDA/FSIS existing authority + EO direction. |
| Phase 2: Interstate State-inspected DTC | Congressional session        | Enact DIRECT-style authority with records, labeling, recall, and household-consumer limits.                                                                      | Congress + USDA rulemaking/implementation.   |
| Phase 3: DPI pilot                      | 12-36 months after authority | Authorize limited federal producer-direct inspected pilot; intact products first; traceability; public reporting; no export.                                     | Congress + FSIS rulemaking.                  |
| Phase 4: Evaluate / expand              | After performance data       | Assess outbreaks, recalls, compliance, economics, inspector workload, consumer response, and downstream supply effects before expanding product/process scope.   | USDA/FSIS + Congress as needed.              |

### 15.1 Metrics that actually matter

- Net new inspected slaughter capacity by region and species.
- Average scheduling delay for small/producer-owned slaughter.
- Number of producer-direct brands using inspected interstate pathways.
- Inspection staffing hours and overtime required per unit of added capacity.
- Food-safety noncompliance, sampling, recall, and outbreak rates by pathway.
- Processor utilization/throughput and financial viability.
- Raw-material continuity for further processors, including trim markets.
- Export-qualified plant capacity and country-eligibility continuity.
- Producer price/bargaining indicators and farm-to-wholesale spreads.
- Consumer price effects separated from cattle-cycle and import/export effects.

## 16. Risks, Failure Modes, and Mitigations

| Failure mode                                       | Why it matters                                                                                  | Mitigation                                                                                                 |
|----------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| Policy sold as “uninspected meat”                  | Destroys consumer trust and coalition support.                                                  | Preserve commercial slaughter inspection; use transparent labels and public standards.                     |
| Executive action exceeds statute                   | Invites litigation and unstable implementation.                                                 | Separate administrative actions from congressional changes; use the 60-day reports as legislative roadmap. |
| CIS-only national plan                             | Leaves federal-only states outside the solution.                                                | Add federal DPI option or maintain federal inspection access.                                              |
| TA treated as staffing shortcut                    | Repeats oversight weaknesses identified after Boar’s Head.                                      | Use strengthened federal training, supervision, coordination, enforcement and coverage criteria.           |
| Legal access without capacity                      | Creates permission but no usable slaughter slots.                                               | Pair reform with workforce, wastewater, equipment, cold chain, rendering, capital and throughput planning. |
| Small processors expected to replace large packers | Threatens further-processing inputs, byproduct economics, export scale and national throughput. | Adopt explicit system-complementarity principle.                                                           |
| Ground/non-intact expansion too fast               | Increases commingling and STEC-control complexity.                                              | Stage product scope; verify HACCP and pathogen controls.                                                   |
| New domestic lane destabilizes exports             | Trading partners may question eligibility/equivalence.                                          | Domestic-only pilot; separate export approval.                                                             |
| Price promises exceed evidence                     | Creates political failure even if access improves.                                              | Measure competition, resilience and producer value separately from retail price.                           |

## 17. Intelligence Indicators and Watch Items

The policy environment is live. The paper should therefore be treated as a baseline against which future USDA, FSIS, congressional, state, and market actions are compared.

| Indicator                         | What would change the assessment                                                              | Cutline watch question                                                                             |
|-----------------------------------|-----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| USDA 60-day reports               | Specific statutory recommendations or trade constraints identified by USDA.                   | Does USDA converge on § 623, § 661, CIS, or a new federal lane?                                    |
| Beef slaughter modernization NPRM | Changes to inspection delivery, staffing, process-control verification, or plant flexibility. | Does modernization help small/medium access while maintaining equivalent public-health protection? |
| CIS expansion                     | Additional participating states or selected plants.                                           | Is capacity actually increasing, or only program enrollment?                                       |
| TA agreement changes              | New training, oversight or enforcement architecture.                                          | Are post-Boar’s Head reforms consistently implemented?                                             |
| Congressional legislation         | DIRECT Act, Farm Bill custom pilots, or new commercial inspection authorities.                | Does Congress preserve inspection and traceability?                                                |
| SPUR / processing finance         | Awards, closures, expansions and throughput.                                                  | Are public funds producing sustainable independent capacity?                                       |
| Outbreaks / recalls               | Events tied to federal, CIS, State, custom, retail, or future DPI pathways.                   | What pathway failed, and is the event relevant to the policy design?                               |

| Indicator                  | What would change the assessment                         | Cutline watch question                                                                           |
|----------------------------|----------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| Further-processing markets | Trim shortages, specification changes, price volatility. | Is processing reform disrupting manufacturing inputs?                                            |
| Exports                    | Country listing changes or equivalence concerns.         | Are trading partners treating new domestic pathways as separate from export-eligible production? |

## 18. Conclusion

The President's stated objective is achievable, but the policy debate becomes clearer once the existing system is described accurately. Ranchers already can sell producer-owned meat to the public and across state lines when the product moves through an authorized interstate inspection pathway. The legal barriers concern the middle of the chain: ordinary custom exemption, ordinary State-inspected interstate movement, inspection eligibility, program participation, and access to practical processing capacity.

The federal government should therefore avoid solving the wrong problem. The objective is not to invent meat commerce for ranchers; it is to expand the number of safe, economically viable processing routes through which rancher-owned product can enter commerce. CIS, TA, federal inspection, and future legislation can accomplish that without treating inspection itself as the obstacle.

At the same time, a serious policy cannot treat large packers as disposable. The same scale that contributes to concentration also supports lower per-head costs, continuous slaughter/fabrication, standardized raw materials for sausage and patty manufacturers and other further processors, efficient co-product markets, national distribution, and export programs. Removing that capacity faster than alternative capacity can replace its functions would create downstream manufacturing and trade problems rather than resilience.

The strongest national framework is therefore complementary: preserve large-scale packing where scale is economically necessary; build medium regional competition where capacity gaps weaken cattle markets; expand small federal and CIS pathways for producer-owned brands; create a carefully inspected federal producer-direct lane for federal-only states if Congress chooses to do so; and retain custom exemption for its legitimate owner-use purpose unless Congress deliberately creates a separate commercial system with explicit public-health controls.

### CUTLINE POLICY POSITION

**Expand producer choice. Preserve inspection. Protect further-processing supply. Protect export capacity. Build more competitors without pretending every processor performs the same function.**

## Appendix A. Regulatory Crosswalk

| Authority / issuance | Current rule or policy                                                                              | Relevance to PDIMC                                                              |
|----------------------|-----------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| 21 U.S.C. §§ 603-604 | Ante-mortem and post-mortem inspection for livestock slaughtered for human food.                    | Any new commercial lane must address these inspection functions.                |
| 21 U.S.C. § 606      | Inspection/marketing of prepared meat products for commerce.                                        | Supports inspected-and-passed commercial product architecture.                  |
| 21 U.S.C. § 623      | Personal/custom exemptions limited to owner/household-use structure; custom product "Not for Sale." | Principal statutory barrier to commercializing ordinary custom product.         |
| 21 U.S.C. § 661      | State MPI cooperative authority; ordinary State product principally intrastate.                     | Principal statutory barrier to broad ordinary State-inspected interstate sales. |

| Authority / issuance               | Current rule or policy                                                               | Relevance to PDIMC                                                                                          |
|------------------------------------|--------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| 21 U.S.C. § 683                    | CIS authority for selected small State establishments.                               | Existing congressional precedent for State personnel inspecting interstate product under federal framework. |
| 9 C.F.R. § 303.1                   | Implements custom exemption, sanitation, separation, marking and records conditions. | Shows custom exempt is regulated but not a commercial inspection lane.                                      |
| 9 C.F.R. Part 416                  | Sanitation requirements / Sanitation SOPs.                                           | Core safety architecture for official establishments.                                                       |
| 9 C.F.R. Part 417                  | HACCP requirements.                                                                  | Core preventive-control architecture.                                                                       |
| 9 C.F.R. § 310.18                  | Sanitary handling and contamination removal.                                         | Foundation for sanitary-dressing verification.                                                              |
| 9 C.F.R. § 310.22                  | Specified Risk Materials from cattle.                                                | Required cattle SRM controls.                                                                               |
| FSIS Directive 8160.1 (2022)       | Custom-exempt review process.                                                        | Confirms FSIS oversight and illegal-sale review.                                                            |
| FSIS Directive 5720.3 (2016)       | State MPI at-least-equal review methodology.                                         | Defines State program equivalence expectations.                                                             |
| FSIS Directive 5740.1 (2021)       | CIS implementation and oversight.                                                    | Defines same-as-federal interstate pathway.                                                                 |
| FSIS Directive 6420.2 (2019)       | Fecal material, ingesta, and milk control verification.                              | Sanitary-dressing control for slaughter.                                                                    |
| FSIS Directive 6100.4 (2017)       | SRM verification.                                                                    | Cattle-specific public-health control.                                                                      |
| FSIS Directive 10010.2 (2020)      | STEC verification in raw beef.                                                       | Relevant to intact and non-intact product staging.                                                          |
| FSIS Mobile Slaughter Guide (2010) | How mobile units come under federal inspection.                                      | Shows mobile format can be compatible with official inspection.                                             |
| FSIS Directive 9000.1 (2018)       | Export certification.                                                                | Separates domestic commercial status from country-specific export eligibility.                              |

## Appendix B. System-Role Matrix

| System need                                   | Large packers                                 | Medium regional                   | Small federal/CIS/DPI                                                   | Custom                      |
|-----------------------------------------------|-----------------------------------------------|-----------------------------------|-------------------------------------------------------------------------|-----------------------------|
| High daily slaughter throughput               | Primary strength                              | Moderate                          | Limited by scale                                                        | Not commercial              |
| Producer-owned branded DTC                    | Possible but often operationally mismatched   | Strong                            | Primary strength                                                        | Not saleable                |
| Further-processing trim / standardized inputs | Primary national source                       | Meaningful regional source        | Can supply niche/limited lots                                           | Not commercial              |
| Byproduct monetization                        | Primary strength                              | Moderate                          | Often weaker economics                                                  | Limited                     |
| Interstate commercial sale                    | Yes                                           | Yes if federally inspected / CIS  | Yes if federally inspected / CIS / future DPI                           | No                          |
| Export programs                               | Major operational role; not legally exclusive | Possible where federally eligible | Possible where federally eligible; CIS subject to applicable conditions | No                          |
| Regional resilience / redundancy              | Can be vulnerable when capacity concentrated  | Strong role                       | Strong local role                                                       | Household/local owner-use   |
| Competition effect                            | Incumbent benchmark                           | Important entrant / rival         | Important producer-access / niche rival                                 | Not a commercial competitor |

## Legal and Regulatory Authorities

Federal Meat Inspection Act, 21 U.S.C. §§ 601-695.

<https://uscode.house.gov/view.xhtml?path=/prelim@title21/chapter12/subchapter1&edition=prelim>

21 U.S.C. § 623 — Exemptions. [https://uscode.house.gov/view.xhtml?req=\(title:21%20section:623%20edition:prelim\)](https://uscode.house.gov/view.xhtml?req=(title:21%20section:623%20edition:prelim))

21 U.S.C. § 661 — Federal and State cooperation. [https://uscode.house.gov/view.xhtml?req=\(title:21%20section:661%20edition:prelim\)](https://uscode.house.gov/view.xhtml?req=(title:21%20section:661%20edition:prelim))

21 U.S.C. § 683 — Cooperative interstate shipment program. [https://uscode.house.gov/view.xhtml?req=\(title:21%20section:683%20edition:prelim\)](https://uscode.house.gov/view.xhtml?req=(title:21%20section:683%20edition:prelim))

9 C.F.R. § 303.1 — Exemptions. <https://www.ecfr.gov/current/title-9/chapter-III/subchapter-A/part-303/section-303.1>

9 C.F.R. § 310.18 — Contamination of carcasses, organs, or other parts. <https://www.ecfr.gov/current/title-9/chapter-III/subchapter-A/part-310/section-310.18>

9 C.F.R. § 310.22 — Specified risk materials from cattle. <https://www.ecfr.gov/current/title-9/chapter-III/subchapter-A/part-310/section-310.22>

9 C.F.R. § 316.16 — Custom prepared products to be marked “Not for Sale.” <https://www.ecfr.gov/current/title-9/chapter-III/subchapter-A/part-316/section-316.16>

9 C.F.R. Part 416 — Sanitation. <https://www.ecfr.gov/current/title-9/chapter-III/subchapter-E/part-416>

9 C.F.R. Part 417 — Hazard Analysis and Critical Control Point (HACCP) Systems. <https://www.ecfr.gov/current/title-9/chapter-III/subchapter-E/part-417>

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